



Turning The TIDE

Amid calls for privatisation, the Left Front Government turns around 28 of Kerala's 42 PSUs. A fresh approach and bold new formula show the country there is another way.

By M.G. Radhakrishnan

It's a man-made miracle in God's own country. When even die-hard Socialists seem to be reconciled to letting perennially sick public sector units (PSUs) being either privatised or left to waste away, Kerala is showing another way. The state is not just propping up haemorrhaging PSUs but is pulling them out of the red; some are even making decent profits. A surprise silver lining in the gener-

ally lacklustre three-and-a-half years of the LDF Government, this has been achieved without compromising on the policy of not liquidating or privatising PSUs or retrenching workers.

The number of profit-making units of the 42 PSUs under the Industries Department climbed from 12 in 2005-06 to 24 the next year, reaching 29 in 2008-09. The department expects to turn 32 companies around by 2009-10. While all the 42 PSUs posted a combined net loss of Rs 69.49 crore in

2005-06 when the new Government came to power, the very next year saw them making a net profit of Rs 91.43 crore. The last financial year witnessed the figure climbing to an impressive Rs 169.45 crore. The period also saw the combined value of production from these companies grow from Rs 1,383 crore to Rs 1,770 crore, and turnover from Rs 1,523 crore to Rs 2,105 crore. Chief Minister V.S. Achuthanandan says, "We have shown the country that there is another way." Left ideologues